

Infineon Technologies

FY3Q26 Preview: Focus will be on FY27 potential, capacity ramp and margin

We believe that Infineon can beat consensus expectations in 3Q26 given that they are essentially in-line with the co. guidance (and peers have reported strong trends). Ability to beat revenue expectations in 4Q, depends on supply availability which is uncertain. However, with prices having increased in both April and in July, Infineon could raise revenue guidance due to the price increases and margin guidance as well due to this. We remain OW on Infineon as the company looks well positioned to remain the leading player in AI power. In our AI power [report](#), we highlighted that the size of the market could be as much as €14bn in FY28. We assume Infineon's AI power sales to be €4bn which is ~28.5% market share. If Infineon maintains the much higher share it has today, then there is upside to our and consensus estimates (we are already ~3.4% higher than consensus on FY28 revenue and ~17% on segment result).

- **Peer indications point to an improving automotive semis market.** Infineon's peers have reported strong results in automotive end markets. Texas Instruments' Automotive revenue grew mid-teens % YoY and the company noted accelerated demand through the quarter from China EVs and hybrids with customers running unsustainably low inventory levels and management framed it as the start of a very broad cycle; NXP Semiconductor reported Automotive revenue up 17% YoY (adj for MEMS divestiture) driven by SDV, electrification and connectivity and stressed growth was content-driven, not restocking. SDV was the fastest growing part of the business at NXP. Infineon is a significant player in this market with its MCU, sensors and ethernet business.
- **Price increases and higher CPU demand should provide upside to the numbers.** Press [reports](#) and the company itself indicate that Infineon raised prices and will continue to do so where market conditions allow, which should support margins. We would thus expect price increases to positively impact revenue and margins in 4Q26. Additionally, Intel and AMD have indicated very strong demand for agentic AI CPUs. Infineon is the leading power semi supplier to data center CPUs (where it has a higher share than for GPUs). These two trends mean that Infineon should be in a position to raise both 4Q26 revenue and margin guidance (implied through FY26 previously guided). The company's new capacity only ramps up starting 1Q27 so whether they can raise guidance due to volume depends on supply availability. Vara consensus for 4Q26 is for revenue of €4,610m or sequential growth of 11.7% QoQ, which is above 6Y seasonality of 8.5% QoQ. For FY26, the consensus expects revenue to grow 10.5% YoY implying revenue of €16,202m which we interpret to be in line with company guidance (~€16.1-16.2bn is our interpretation). Thus, our view is that there is potential for Infineon to raise its sales and margin guidance due to price increases.
- **What to expect for 3Q26?** Infineon is to report 3Q26 results on August 5th and we expect the company to report revenue of €4,126m (implying 8.2% sequential growth and 11.4% YoY) which is in line with company guidance. Our segment revenue estimates for 3Q imply that Connected Secure Systems (CSS) and Power & Sensor Systems (PSS) do better than group level (up 14.0%

Overweight

IFXGn.DE, IFX GR

Price (29 Jul 26):€54.56

Price Target (Dec-27):€96.00

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Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	93	62	68	29	70
Growth	30	50	64		
Momentum	2	61	55	10	41
Quality	67	82	67	68	90
Low Vol	4	32	55	55	51
ESGQ	71	36	54	42	77

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



Company Data

Shares O/S (mn)	1,306
52-week range (€)	89.67-30.81
Market cap (\$ mn)	81,133.06
Exchange rate	0.88
Free float (%)	99.8%
3M ADV (mn)	5.68
3M ADV (\$ mn)	464.2
Volatility (90 Day)	68
Index	PHILA SEMICONDUCTOR
BBG ANR (Buy Hold Sell)	24 6 1

Key Metrics (FYE Sep)

€ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	14,663	16,191	19,682	22,852
Adj. EBIT	2,558	3,240	5,254	7,158
Adj. EBITDA	4,475	5,220	7,454	9,378
Adj. net income	1,817	2,249	3,758	5,246
Adj. EPS	1.39	1.71	2.86	3.99
BBG EPS	1.47	1.76	2.75	3.70
Cashflow from operations	3,178	3,974	4,327	6,749
FCFF	1,084	1,231	1,607	4,039
Margins and Growth				
Revenue Growth Y/Y (%)	(2.0%)	10.4%	21.6%	16.1%
EBIT margin	17.4%	20.0%	26.7%	31.3%
EBIT Growth Y/Y (%)	(17.6%)	26.7%	62.1%	36.2%
EBITDA margin	30.5%	32.2%	37.9%	41.0%
EBITDA Growth Y/Y (%)	(10.0%)	16.7%	42.8%	25.8%
Net margin	12.4%	13.9%	19.1%	23.0%
Adj. EPS growth	(25.6%)	23.3%	67.1%	39.6%
Ratios				
Adj. tax rate	24.5%	24.4%	24.8%	24.4%
Interest cover	30.0	20.1	29.6	44.2
Net debt/Equity	0.3	0.2	0.1	NM
Net debt/EBITDA	1.1	0.8	0.4	NM
ROE	10.6%	12.6%	18.9%	22.4%
Valuation				
FCFF yield	1.5%	1.7%	2.2%	5.6%
Dividend yield	0.6%	0.6%	0.7%	0.7%
EV/Revenue	8.0	7.2	5.9	4.9
EV/EBITDA	26.3	22.5	15.6	12.0
Adj. P/E	39.3	31.9	19.1	13.7

Summary Investment Thesis and Valuation

Investment Thesis

Infineon is exposed to multiple secular trends including AI power, software defined vehicles and ADAS where it is a market leader. In its reported results, Infineon has now indicated improving trends in its core automotive business (~50% of revenue). Infineon is also a major beneficiary of power semiconductor growth due to AI power, where it is a leading supplier. The strength in MOSFETs due to AI power demand is helping pricing for MOSFETs in non AI markets and this trend will be accretive to Infineon margins. Overall, with the cycle improving and with the company's strong AI power position, Infineon should see estimate upgrades over the next few quarters in our opinion.

Valuation

Our Dec-27 price target of €96 is based on a 24x our FY28 EPS estimates. Infineon has traded between 15.6x and 23.0x its forward earnings in the past 10 years (inter-quartile range), with an average multiple of 19.8x. Given the company's leading position in AI power, which is an increasingly larger part of the business, and structural growth in power infrastructure (which should inflect towards the end of '27), the stock should trade at a premium to this historical range and thus we see 24x forward earnings as a fair multiple.

Performance Drivers

Market	46%
Sector	20%
Macro	1%
Style	1%
Idiosyn.	32%

Factors	6M Corr	1Y Corr
Market: MSCI Europe ex UK	0.72	0.68
Sect: Technology	0.67	0.61
Ind: Semicond & S Equip	0.48	0.49
Macro:		
Euro	-0.10	-0.21
Citi Eco Surprise Eurozone	-0.33	-0.16
Markit Eurozone Comp PMI	-0.07	-0.04
Quant Styles:		
Value	-0.49	-0.32
DivYld	-0.18	-0.19
Size	0.17	0.17

QoQ and 13.0% QoQ), while Green Industrial Power (GIP) and Automotive (ATV) grow below group level (8.0% QoQ and 4.0% QoQ) — but we note that there is upside potential to our ATV estimates given peer reports. On profitability, we expect the company to report a 3Q segment operating margin of 19.6% (up 242bps QoQ and up 152bps YoY), which is in line with consensus and in line with the company's guidance of high teens % range.

Table 1: Infineon 3Q26 Preview

(in €m)	JPM 3Q26E	Consensus 3Q26E	% Diff vs. cons.	2Q26A	Growth Q/Q	3Q25A	Growth Y/Y
Net revenue	4,125.9	4,128.3	-0.1%	3,812.0	8.2%	3,704.0	11.4%
Gross profit	1,703.7	1,680.8	1.4%	1,477.0	15.4%	1,515.0	12.5%
Gross margin	41.3%	40.7%	58bps	38.7%	255bps	40.9%	39bps
Segment result	806.7	809.5	-0.3%	653.0	23.5%	668.0	20.8%
Segment result margin	19.6%	19.6%	-5bps	17.1%	242bps	18.0%	152bps
Adj. EPS (diluted)	0.42	0.44	-4.8%	0.34	22.8%	0.37	13.2%

Source: Company reports, J.P. Morgan estimates, Vara consensus.

Investment Thesis, Valuation and Risks

Infineon Technologies (*Overweight; Price Target: €96.00*)

Investment Thesis

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Risks to Rating and Price Target

Key risks that could keep our rating and target price from being achieved include:

- Macro: If the global economy slips into recession, the target would prove too optimistic.
- Competitive pressures in a weak environment could mean weaker profitability than forecast.
- Sudden shift from a currency tailwind to a headwind would impact margins and sales negatively, and vice versa.

Infineon Technologies: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E
Revenue	14,955	14,663	16,191	19,682	Cash flow from operating activities	3,541	3,178	3,974	4,327
COGS	(8,887)	(8,911)	(9,525)	(10,845)	o/w Depreciation & amortization	1,866	1,917	1,980	2,200
Gross profit	6,068	5,752	6,666	8,838	o/w Changes in working capital	(240)	(177)	19	(1,739)
SG&A	(1,553)	(1,582)	(1,588)	(1,600)	Cash flow from investing activities	(2,167)	(4,573)	(2,839)	(2,720)
Adj. EBITDA	4,970	4,475	5,220	7,454	o/w Capital expenditure	(2,718)	(2,094)	(2,743)	(2,720)
D&A	(1,866)	(1,917)	(1,980)	(2,200)	as % of sales	18.2%	14.3%	16.9%	13.8%
Adj. EBIT	3,104	2,558	3,240	5,254	Cash flow from financing activities	(615)	919	303	(486)
Net Interest	(43)	(149)	(260)	(252)	o/w Dividends paid	(456)	(455)	(456)	(486)
Adj. PBT	3,073	2,419	2,996	5,018	o/w Shares issued/(repurchased)	0	0	(195)	0
Tax	(379)	(370)	(528)	(1,032)	o/w Net debt issued/(repaid)	177	1,505	1,000	0
Minority Interest	0	0	0	0	Net change in cash	747	(489)	1,441	1,121
Adj. Net Income	2,440	1,817	2,249	3,758	Adj. Free cash flow to firm	823	1,084	1,231	1,607
Reported EPS	1.00	0.77	1.28	2.49	y/y Growth	(15.0%)	31.7%	13.6%	30.5%
Adj. EPS	1.87	1.39	1.71	2.86					
DPS	0.35	0.35	0.35	0.37					
Payout ratio	35.2%	45.2%	27.3%	14.9%					
Shares outstanding	1,306	1,308	1,313	1,313					
Balance Sheet	FY24A	FY25A	FY26E	FY27E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E
Cash and cash equivalents	2,201	2,102	3,656	4,777	Gross margin	40.6%	39.2%	41.2%	44.9%
Accounts receivable	2,250	2,249	2,365	3,129	EBITDA margin	33.2%	30.5%	32.2%	37.9%
Inventories	3,990	4,141	4,192	5,073	EBIT margin	20.8%	17.4%	20.0%	26.7%
Other current assets	1,352	1,331	1,440	1,957	Net profit margin	16.3%	12.4%	13.9%	19.1%
Current assets	9,793	9,823	11,652	14,936	ROE	14.2%	10.6%	12.6%	18.9%
PP&E	8,002	8,142	8,871	9,071	ROA	8.5%	6.1%	7.1%	10.8%
LT investments	117	100	111	111	ROCE	11.4%	8.4%	9.7%	14.2%
Other non current assets	10,727	12,405	12,644	12,368	SG&A/Sales	10.4%	10.8%	9.8%	8.1%
Total assets	28,639	30,470	33,278	36,485	Net debt/Equity	0.2	0.3	0.2	0.1
					Net debt/EBITDA	0.5	1.1	0.8	0.4
Short term borrowings	500	1,047	1,814	1,814	Sales/Assets (x)	0.5	0.5	0.5	0.6
Payables	1,990	2,011	2,307	2,618	Assets/Equity (x)	1.7	1.7	1.8	1.8
Other short term liabilities	2,656	2,726	2,933	3,045	Interest cover (x)	115.6	30.0	20.1	29.6
Current liabilities	5,146	5,784	7,054	7,478	Operating leverage	354.6%	900.9%	256.0%	288.1%
Long-term debt	4,311	5,782	6,060	6,060	Tax rate	19.7%	24.5%	24.4%	24.8%
Other long term liabilities	1,963	1,853	1,632	1,632	Revenue y/y Growth	(8.3%)	(2.0%)	10.4%	21.6%
Total liabilities	11,420	13,419	14,746	15,170	EBITDA y/y Growth	(19.2%)	(10.0%)	16.7%	42.8%
Shareholders' equity	17,219	17,051	18,532	21,316	EPS y/y Growth	(29.6%)	(25.6%)	23.3%	67.1%
Minority interests	0	0	0	0	Valuation	FY24A	FY25A	FY26E	FY27E
Total liabilities & equity	28,639	30,470	33,278	36,485	P/E (x)	29.2	39.3	31.9	19.1
BVPS	13.19	13.04	14.11	16.23	P/BV (x)	4.1	4.2	3.9	3.4
y/y Growth	1.1%	(1.1%)	8.2%	15.0%	EV/EBITDA (x)	23.3	26.3	22.5	15.6
Net debt/(cash)	2,610	4,727	4,218	3,097	Dividend Yield	0.6%	0.6%	0.6%	0.7%

Source: Company reports and J.P. Morgan estimates.

Note: € in millions (except per-share data). Fiscal year ends Sep. o/w - out of which

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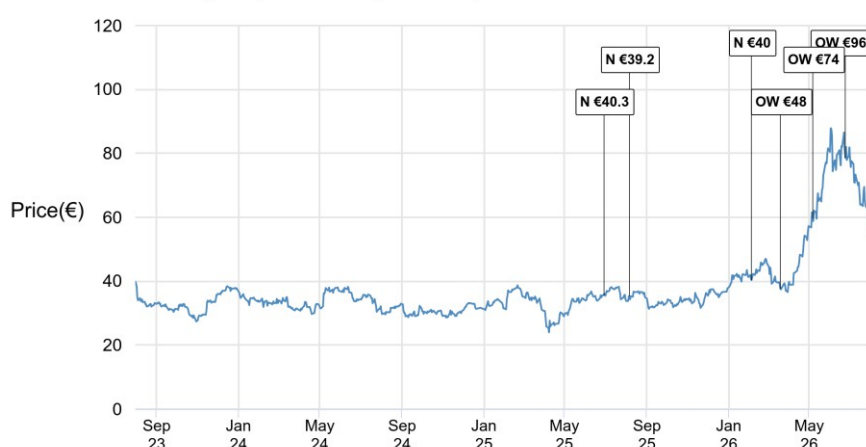
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Infineon Technologies (IFXGn.DE, IFX GR) Price Chart



Date	Rating	Price (€)	Price Target (€)
30-Jun-25	N	35.48	40.3
06-Aug-25	N	35.33	39.2
05-Feb-26	N	40.35	40
20-Mar-26	OW	37.61	48
07-May-26	OW	59.57	74
25-Jun-26	OW	78.57	96

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 30, 2002. All share prices are as of market close on the previous business day.

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